

Q3 2024

Custom Managed Portfolios

Dixon Mitchell Investment Counsel

Total equity

Quick facts

Asset class:

North American Large Cap

Management style:

Blend¹

Number of holdings:

34

Sub-advisor:

Dixon Mitchell Investment
Counsel

Portfolio manager:

Aviso Wealth

Minimum investment:

\$150,000

Inception Date:

July 1, 2000



What does the strategy invest in?

This strategy focuses on long-term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign (mostly US) large capitalization equities.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	6.00%	15.98%	27.01%	14.57%	15.62%	12.92%	9.87%
Benchmark ⁵	9.16%	19.20%	29.16%	11.26%	12.83%	10.77%	6.68%

Calendar year returns

	2023	2022	2021	2020	2019	2018	2017
Portfolio	22.67%	- 3.34%	29.48%	12.32%	19.46%	- 0.23%	12.43%
Benchmark ⁵	14.89%	- 7.42%	27.96%	8.62%	22.82%	- 4.10%	11.01%

Standard deviation	7.31%	Sortino ratio	1.52	Upside capture	98%
Sharpe ratio	1.13	Beta (Equity)	0.78	Downside capture	66%

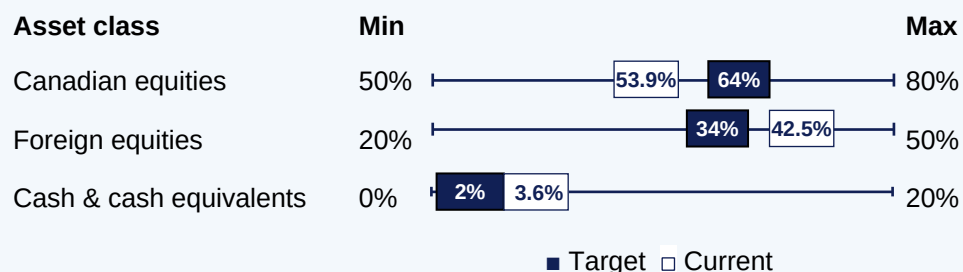
Largest holdings

1. ALPHABET INC CL A	6.0%	6. BROOKFIELD CORP VTG CL A	4.3%
2. INTERCONTINENTAL EXCH INC	5.2%	7. TORONTO DOMINION BK	4.3%
3. DOLLARAMA INC	5.1%	8. ROYAL BANK OF CDA	4.2%
4. VISA INC	4.6%	9. ALIMENTATION COUCHE-TARD	4.1%
5. BERKSHIRE HATHAWAY NEW	4.5%	10. TFI INTERNATIONAL INC	3.5%

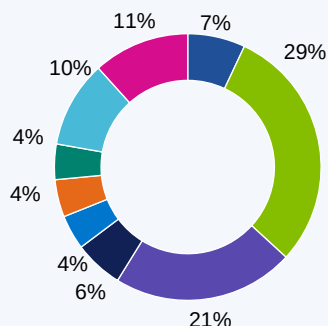
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
1.51%	31.74	21.73	5.13	5.64	\$428.61 B	62%

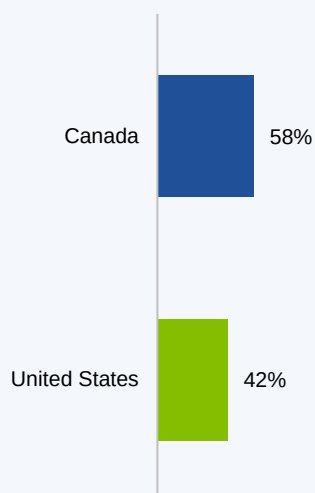
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

Regime change

In the final paragraph of our first quarter letter, we wrote:

In the next issue of this commentary, we could very well be talking about a quarterly decline for your equity allocation, and it may be more than just a speed bump. History and the well-documented mistakes of others, however, tell us that our best course will be to stay put, regardless of how bleak things might seem in the moment or how tempted we are to try and outsmart the market.

While the three months immediately following that report passed without incident, it looked like our warning might be coming to fruition halfway through Q3. After reaching a new high in mid-July, the S&P 500 dropped by about 9% in a matter of days, with blame assigned to the rapidly unwinding “yen carry trade”. If this sounds like a bit of investment esoterica, that’s because it is. It’s the kind of thing that keeps traders and speculators up at night, but which should be of little concern to anyone taking positions in quality businesses with the goal of generating long-term compound growth. Regardless, just as quickly as the market got “carried” away, it forgot about this supposedly perilous development and resumed the ascent that began in the fall of 2022.

Around the same time, the Bank of Canada implemented its third consecutive interest rate cut, cementing its position as policy loosening leader amongst developed country central banks. When the US Federal Reserve subsequently met in late September, the question wasn’t “if” they’d ease, but rather by how much. Central bankers generally prefer to follow a measured path, with the vast majority of rate cuts and hikes coming in 25 basis point (or 0.25%) increments, and though a meaningful portion of observers thought that a 50 basis point reduction was possible, most predicted that the decrease would be meted out according to the usual dosage.

As it happened, the Fed did elect to chop half a percent off its policy rate, perhaps signaling that the governors felt they had ground to make up, or at least that the potential for adverse consequences was limited. To be sure, the two-year US bond yield – which often leads the Fed funds rate – had opened up a widespread against the monetary benchmark and, even at the end of the quarter, was still suggesting that the Fed had room to move (see first chart).

As many of you will know, interest rate changes can have a meaningful impact on asset valuations and future performance. In the case of bonds, rising rates exert pressure on prices while falling yields do the opposite; and after having experienced the worst bond bear market in history from 2020 to 2023, holders of fixed income instruments will undoubtedly welcome the inflection in policy that arrived this summer.

If the connection between interest rates and bonds is mathematical, the linkage with stocks is less direct and often depends on what’s driving changes in central bank positioning. When rates were slashed in 2008, for example, it was a four-alarm response to the near collapse of the global financial system and, not surprisingly, equity markets took their cue from the dire economic backdrop rather than from the drop in yields. Today’s cut, however, reflects a comparatively happy circumstance, with the slaying of the inflation dragon allowing bankers to put down their swords while most economic and financial variables remain in positive territory. In fact, US consumer sentiment rose to its highest level in five months in September, while economists boosted their aggregate 2024 GDP growth estimates for the second time since the beginning of August.

Continuing with the financial crisis analogue, that was a period when individuals had binged on debt in pursuit of real estate riches and so when things turned down, a negative feedback loop developed, where stretched household finances blunted consumer activity, which undermined the economy, which put more pressure on private sector balance sheets, and so on. Today, however, households are wealthier than they've ever been and much less levered than they were at any point since the mid-80s (see second chart). On top of that, deposits in money market funds, which had surged to \$5 trillion in the first quarter of 2023, are now approaching \$6.5 trillion. As short-term yields fall, it wouldn't be unreasonable to imagine that some of this liquidity will find its way to consumption or investment, a wave which could be doubly amplified if those same lower rates also encourage households to re-lever. These characteristics are almost the mirror image of those prevailing in 2007/08 and could provide a persistent bid beneath both the economy and asset markets.

When rates are falling and the economy is in reasonably good shape, it makes sense that lower yields would be supportive of stock prices, as the competition for capital is diminished (i.e. bond and money market yields become less attractive) and the present value of future cash flows is boosted. As the graph below depicts, this relationship seems to have played out in the past, in that every time since 1980 that the Fed has cut rates when the S&P 500 is within 2% of its all-time high, stocks have gained over the following 12 months (note that when the Fed reduced its policy rate in September, the S&P was just 0.58% below its record level and reached another new high just days later).

Investment manager overview



Dixon Mitchell was formed in June of 2000 by a small group of principals with the goal of providing sound asset management to mid and high net worth individuals. The team coalesced with a vision of offering investment management and client service at a level not generally achieved in a sprawling corporate environment.

Today, they are comprised of a focused group of individuals who bring diverse talents and experience to both the security selection and portfolio construction aspects of investment management.

Investment philosophy

Dixon Mitchell's investment approach is geared toward generating strong, absolute returns independent of market conditions and recognizes the importance of risk management to long term performance. Stocks are evaluated based on their valuation and ability to generate and grow cash flow and all securities must meet their tests for equitable corporate governance. The objective of the Total Equity mandate is to achieve long term capital growth supplemented by dividend income attained through the investment in a diversified basket of Canadian and foreign large-cap equities.

Investment process and risk controls

Fundamental to this philosophy is Dixon Mitchell's equity screening process:

Qualitative Attributes:

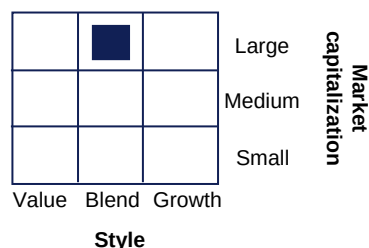
1. Sustainable competitive advantage
2. Positive industry fundamentals
3. Equitable corporate governance

Quantitative Evaluations:

1. High return on invested capital
2. Current dividend yield / trend
3. Cash flow strength

Through this analysis, Dixon Mitchell evaluates each equity holding as a business. If that business is not run by management whose interests are aligned with theirs, or if it does not generate a true investment return through cash flow and dividends, it is not a candidate for the Dixon Mitchell portfolios. These rigorous standards, along with their unwillingness to overpay for a company, produce stable long-term performance and portfolios that stand the test of time.

Equity style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ Blend – Combination of growth and value investment style

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

³ The return data is as at 9/30/2024. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

⁴ The information contained in this report was obtained from sources believed to be reliable; however, we cannot guarantee that it is accurate or complete. The Custom Managed Portfolios are distributed by Aviso Wealth. Mutual funds and other securities are offered through Aviso Wealth, a division of Aviso Financial Inc. Referral fees, commissions, management fees, and expenses all may be associated with managed accounts or the investments therein. Managed accounts, and the investments therein, are not insured nor guaranteed, their values change frequently, and past performance may not be repeated.

⁵ The benchmark is TSX 60 (70%) & S&P 500 (30%) The information contained in this report was obtained from sources believed to be reliable; however, we cannot guarantee that it is accurate or complete. Custom Managed Portfolios are distributed by Aviso Wealth. Mutual funds and other securities are offered through Aviso Wealth, a division of Aviso Financial Inc. Referral fees, commissions, management fees, and expenses all may be associated with managed accounts or the investments therein. Managed accounts, and the investments therein, are not insured nor guaranteed, their values change frequently, and past performance may not be repeated. Activities performed by Aviso Wealth are conducted through Aviso Financial Inc.

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